Lecture 04 (2026-05-17)

Quick Summary

This segment covers the distinction between assets and expenses based on timing (Prepaid Interest), the classification of "pay-later" obligations as liabilities (Dividend Payable), and the mechanics of non-cash expenses (Depreciation). It also covers the calculation of profit/loss on asset sales, the classification of "Other Income," and the move away from "In/Out" accounting rules toward the Accounting Equation method. This latest segment adds details on revenue recognition (Cash vs. Credit sales), the differentiation between Trade and Cash discounts, the handling of Sales Returns, and the accounting for Bad Debts and Bad Debts Recovered. It also emphasizes the role of the accounting equation as a management tool for decision-making and distinguishes between the standard accounting equation and the expanded version used in this course.

Key Definitions

- **Separate Entity Concept**: The principle that a business entity is distinct and separate from its owners, promoters, or individuals.
- **Accounting Period Concept**: The practice of dividing the life of a company into fixed, manageable periods (standardly 12 months) to report financial performance.
- **Revenue Recognition Concept**: Revenue is recognized when a transaction is completed and the company is "reasonably certain" that the payment is secured (often upon delivery or receipt of an invoice).
- **Matching Concept**: The requirement that expenses be recorded in the same period as the revenue they help generate.
- **Dual Concept**: The principle that every debit must have a corresponding credit.
- **Conservatism Principle**: A cautious approach where potential losses/expenses are recorded immediately, but revenues/earnings are only recorded when certain. (Expense = benefit of the doubt; Revenue = no benefit of the doubt).
- **Historical Cost Concept**: Recording assets based on their original acquisition cost, which accounts for depreciation over time.
- **Materiality Concept**: An exception to strict rules for small, inconsequential items (e.g., a small calculator) which can be treated as an expense rather than a capitalized asset.
- **Prepaid Expense**: An expense paid in advance that is recorded as an asset because it represents a future benefit (e.g., Prepaid Interest).
- **Non-Cash Expense**: An expense that does not involve an immediate outflow of cash, such as depreciation.
- **Net Book Value**: The value of an asset after accounting for depreciation (Cost - Depreciation). This is the value used to determine profit/loss when the asset is sold.
- **Other Income**: Revenue generated from items that are not the core business of the company (e.g., interest income, profit from selling old equipment).
- **Accounts Receivable**: An asset representing the amount owed by customers who have purchased goods or services on credit. It is recognized as an asset because the company is "reasonably certain" of receiving the payment.
- **Trade Discount**: A discount offered to all customers at the time of sale (e.g., a standard promotion). These are **not** recorded separately in the accounting books; the transaction is simply recorded at the discounted price.
- **Cash Discount**: A discount offered to a customer specifically for prompt payment (e.g., "pay within 10 days to get 10% off"). These **are** recorded as an expense (e.g., "Discount Allowed").

- **Sales Return**: A contra-income account used to track items returned by customers. It is essentially the opposite of "Sales" (Income).
- **Bad Debts**: An expense representing the portion of accounts receivable that is determined to be uncollectible.
- **Bad Debts Recovered**: An income account used when a previously declared bad debt is actually collected. This is separate from the "Bad Debts" expense account.

Worked Examples

Asset/Liability/Income/Expense Classifications: - **Outstanding expense**: Liability - **Rent paid**: Expense - **Rent outstanding**: Liability - **Rent prepaid**: Asset (Current Asset) - **Rent received in advance**: Liability - **Insurance premium**: Asset (specifically a "prepaid" asset because it is paid for a year and "materialized" over that period). - **Loan ticket**: Liability - **Loan given**: Asset - **Goods lost by fire**: Expense (classified as an abnormal loss). - **Bad debts recovered**: Income - **Bad debts**: Expense - **Provision for bad debts**: Liability - **Inventory (e.g., car for a car dealer)**: Asset. It is an asset until the point of sale; it only becomes an expense (Cost of Goods Sold) once sold. - **Goods sold on return basis**: Revenue. (Reasoning: Under the Revenue Recognition concept, these are recorded as revenue because there is a high likelihood they will be accepted; recording as "deferred revenue" would cause an expense mismatch).

Accounting Equation Structure (LHS): - **Columns**: Asset 1, Asset 2, Asset 3, Expense (including Dividends). - **Rule**: For entries on the LHS (Assets and Expenses), an Increase is a Debit and a Decrease is a Credit.

Transaction: Prepaid Interest (Payment before time) - **Scenario**: Payment of 8,000 for interest where the "time to pay" (the period it applies to) has not yet arrived. - **Logic**: Because the time has not come, it is not an expense. It is a future benefit. - **Treatment**: **Asset** (Prepaid Interest). - **Impact**: Debit Prepaid Interest (Asset +), Credit Bank (Asset -).

Transaction: Prepaid Interest (Previous year's prepaid amount) - **Scenario**: Interest that was prepaid in a previous period is being "used" in the current period. - **Logic**: The benefit is being consumed now. - **Treatment**: **Expense**. - **Impact**: Debit Interest Expense, Credit Prepaid Interest (Asset -).

Transaction: Dividend Payable - **Scenario**: A dividend of 8,000 is payable. - **Logic**: This is a "pay bill." It is an obligation to pay in the future. - **Treatment**: **Liability**. - **Impact**: Debit Dividend, Credit Dividend Payable (Liability).

Transaction: Plant and Machinery Purchase - **Scenario**: Purchase of machinery worth 50,000. - **Impact**: Debit Plant and Machinery (Asset +), Credit Bank (Asset -).

Transaction: Depreciation on Plant and Machinery - **Scenario**: 10% depreciation on 50,000. - **Calculation**: 50,000 * 10% = 5,000. - **Logic**: Depreciation is a **non-cash expense**. No cash is leaving the business; the value of the asset is simply decreasing. - **Impact**: Debit Depreciation (Expense +), Credit Plant and Machinery (Asset -).

Transaction: Sale of Machinery (Profit Calculation) - **Scenario**: Machinery sold for 48,000. Original Cost was 50,000. Depreciation is 10% per year. - **Calculation**: 1. **Original Cost**: 50,000 2. **Depreciation (10%)**: 5,000 3. **Net Book Value (NBV)**: 50,000 - 5,000 = 45,000 4. **Selling Price**: 48,000 5. **Profit Calculation**: 48,000 (Sale) - 45,000 (NBV) = 3,000. - **Logic**: The profit (3,000) is classified as **Other Income** because selling old machinery is not the core business. - **Impact**: 1. Cash (Asset) increases by 48,000 (Debit). 2. Machinery (Asset) decreases by 45,000 (Credit). 3. Profit (Income) increases by 3,000 (Credit). - **Simplification Note**: While a full entry could show four aspects (Cash, Machinery, Depreciation, Profit), it is often simplified to three (Cash, Machinery, Profit) for training purposes.

Transaction: Investment in Equity Shares - **Scenario**: Investment in equity shares of 70,000. - **Logic**: Cash (Asset) is decreasing; Equity Shares (Asset/Investment) is increasing. - **Impact**: Debit Equity Share

(Asset + 70,000), Credit Cash (Asset - 70,000). - **Note**: Even though one is a debit and one is a credit, the primary logic is whether the specific asset is increasing or decreasing.

Transaction: Interest Income - **Scenario**: Interest income of 20,000. - **Logic**: Cash (Asset) increases; Interest Income (Other Income) increases. - **Impact**: Debit Cash (Asset + 20,000), Credit Interest Income (Income + 20,000).

Transaction: Sale of Goods (Cash) - **Scenario**: Goods worth 50,000 sold for cash. - **Logic**: Cash is an asset that is increasing (Debit). The sale is income/revenue. - **Impact**: Debit Asset (Cash + 50,000), Credit Income (Sale + 50,000).

Transaction: Sale of Goods (Credit/Accounts Receivable) - **Scenario**: Goods sold to "Ram and Company" for 30,000. - **Logic**: Even though cash is not received immediately, "Accounts Receivable" is an asset because it represents a "future benefit" that is "reasonably certain" to be received. - **Impact**: Debit Accounts Receivable (Asset + 30,000), Credit Income (Sale + 30,000).

Transaction: Sales with Trade and Cash Discounts - **Scenario**: Original price 30,000; Trade discount of 10%; Cash discount of 10% offered on the balance. - **Step 1 (Trade Discount Calculation)**: 30,000 - 10% (3,000) = 27,000. - **Step 2 (Cash Discount Calculation)**: 27,000 - 10% (2,700) = 24,300. - **Logic (Trade Discount)**: Trade discounts are not recorded as a separate line; the sale is simply recorded as 27,000. - **Logic (Cash Discount)**: Cash discounts are recorded as an expense (e.g., "Discount Allowed"). - **Impact**: 1. Debit Cash/Bank (Asset + 24,300). 2. Debit Discount Allowed (Expense + 2,700). 3. Credit Income (Sale + 27,000).

Transaction: Sales Return - **Scenario**: Customer returns goods worth 15,000. - **Logic**: Sales Return is the opposite of Sale (Income). It is used to track the volume of returns. - **Impact**: Debit Sales Return (Income - 15,000), Credit Cash/Accounts Receivable (Asset - 15,000).

Transaction: Bad Debts - **Scenario**: A customer (Rohan) fails to pay 10,000. - **Logic**: Bad debt is an expense. The asset (Accounts Receivable) is decreased. - **Impact**: Debit Bad Debts (Expense + 10,000), Credit Accounts Receivable (Asset - 10,000).

Transaction: Bad Debts Recovered - **Scenario**: A previously written-off debt of 10,000 is recovered from Rohan. - **Logic**: This is a separate account from "Bad Debts." It is an income account to track successfully recovered amounts. - **Impact**: Debit Cash (Asset + 10,000), Credit Bad Debts Recovered (Income + 10,000).

Transaction: Inspection Cost - **Scenario**: Costs incurred for a quality assurance inspection. - **Logic**: It is an expense (cost of doing business) and results in a decrease in cash (Asset). - **Impact**: Debit Inspection Expense (Expense +), Credit Cash (Asset -). - **Management Decision**: This data allows a manager to evaluate if the expense of the visit is justified by the result (e.g., deciding whether to reduce the frequency of inspections to lower costs while maintaining quality).

Formulas & Rules

- **LHS Rule**: For items on the Left Hand_Side (Assets and Expense), the same rule applies: Increase = Debit, Decrease = Credit.

  Depreciation Methods:
  - **Straight Line (SLM)**: Identical amount of depreciation charged every year (similar to simple interest).
  - **Written Down Value (WDV)**: Depreciation calculated on the closing value of the asset (depreciation on depreciation).
- **Transaction Aspects**: Every transaction has at least two aspects (impacted accounts). Some have three.
- **Entry Order**: While not a strict rule, it is standard practice to record **Debits first**, then Credits.

- **Calculation Rule**: To determine profit or loss on a sale, compare the Selling Price against the Net Book Value (Cost - Depreciation), not the original cost.
- **Balance Rule**: The sum of debits and credits must always be equal. A transaction with only one aspect is impossible/invalid.

  Discount Calculation Rule:
  1. Start with Gross Amount.
  2. Subtract **Trade Discount** (not entered as a separate account; reduces the recorded sale value).
  3. Calculate **Cash Discount** based on the remaining balance.
  4. Record Cash Discount as an **Expense**.
- **Sale Value Calculation**: In the case of trade discounts, the "Income" figure should match the amount after trade discounts are removed, but before cash discounts are subtracted.
- **The Accounting Equation (Expanded)**: **Asset + Expense + Dividend = Liability + Income + Owner's Equity**. (Note: This expanded version is used in this course to ensure all components affecting the balance are accounted for).

Tricky Logic & Traps

- **Cash vs. Timing (Prepaid Interest)**: Do not assume that if cash leaves the company, it is an expense. If the "time" of the transaction hasn't arrived, it is a **Prepaid Asset**. It only becomes an expense in the period it is actually "used."
- **Dividend Payable**: Do not treat as an expense. Because it is a "pay bill" (not yet paid), it is a **Liability**.
- **Depreciation as Non-Cash**: Students often look for the cash movement. Depreciation is an expense where the debit is to the expense account and the credit is to the asset account; no cash is involved.
- **Calculation Basis for Depreciation**: Be aware of the difference between SLM and WDV. WDV is common in India as it avoids the asset value reaching zero too quickly.
- **The "In/Out" Fallacy**: Do not rely on the rule "Debit what comes in, Credit what goes out." This rule is insufficient because it cannot explain accounts like "Outstanding" items. Instead, always use the **Accounting Equation** (identifying if it is an Asset/Expense/Liability/Income and whether it is increasing or decreasing).
- **Other Income vs. Core Business**: Items like profit from selling equipment or interest income should be classified as **Other Income** because they are not the core business of the company.
- **Profit on Sale**: When calculating profit/loss on a sale, the "selling price" is compared to the **Net Book Value** (current value after depreciation), not the original purchase price.
- **Quantity of Aspects**: A transaction must have at least two aspects (one debit and one credit). A transaction with only one side is a logical impossibility.
- **Accounts Receivable Trap**: Because "Accounts Receivable" is an asset, it is **Debited** when a sale is made on credit, even though no physical cash "comes in" at that moment. The logic is "Future Benefit."

  Trade vs. Cash Discount Logic:
  - **Trade Discounts** are for everyone; do not record them as an expense. They simply reduce the recorded Sales figure.
  - **Cash Discounts** are specific incentives; they **must** be recorded as an expense (e.g., "Discount Allowed").
- **Bad Debts vs. Bad Debts Recovered**: These are separate accounts. "Bad Debts" is an expense for current losses; "Bad Debts Recovered" is an income account for assets recovered from previous periods.
- **"Goods" as a term**: Do not use "Goods" as an account name. It is a general trading term. Use "Sales" or "Inventory" for specific accounts to avoid confusion.
- **Standard vs. Expanded Equation**: Students may see $Asset = Liability + Equity$ in other texts. This course uses the expanded equation ($Asset + Expense + Dividend = Liability + Income + Owner's Equity$) to properly account for factors that impact equity.

- **Accounting as a "Thought Process"**: Don't view the equation just as a ledger entry. It is a tool for management. For example, a manager uses the "Inspection Expense" to decide if the cost of the service is worth the benefit to the company.

Exam Pointers

- **Identifying "Pay Bills"**: If a term like "Payable" is used, it is a Liability. If a term like "Prepaid" is used, it is an Asset.
- **Journal Preparation**: Remember the order of Debit first, then Credit, as this simplifies the transition to preparing formal journal entries.
- **Identifying "Other Income"**: If a transaction is not the core business (e.g., interest, selling old assets), categorize it as "Other Income."
- **Discount Calculation Shortcut**: When calculating the income from a sale with discounts, only subtract the **Trade Discount** from the total. The **Cash Discount** should be added to the "Expenses" side of the equation.
- **Management Perspective**: Use the accounting entries to justify management decisions, such as cost-benefit analysis on recurring expenses (e.g., inspection costs).

Sources

- Session 1 - FMA 2026.pdf
- Accounting Equations -solved and uploaded.xlsx
- Journal Ledger Trial Balance.xlsx